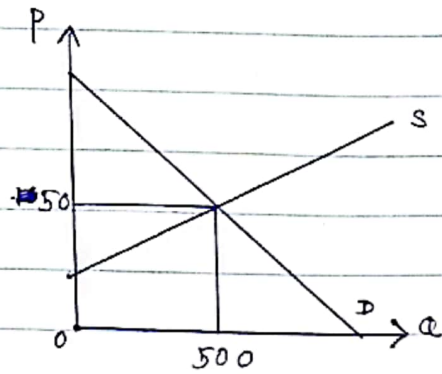


## Equilibrium

Equilibrium is the state of in which market supply and demand balance each other, and as a result price become stable.



\* Shortage  $\rightarrow$  When the quantity demanded of a good, service or resource is greater than the quantity supplied.

\* Surplus  $\rightarrow$  when the quantity supply of a good is greater the quantity Demanded.

At the point of equilibrium,

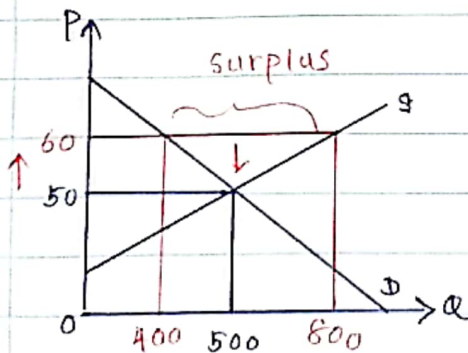
$$\text{shortage} = 0$$

$$\text{surplus} = 0$$

price of demand = price of supply

quantity of demand = quantity of supply.

### surplus

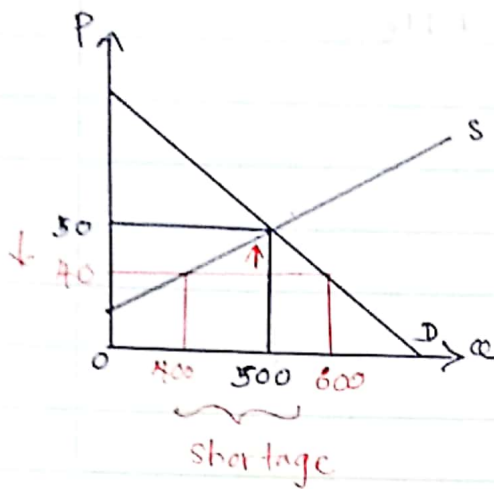


$$\text{Surplus} = \text{supply quantity} - \text{Demand quantity}$$

$$= 800 - 400$$

$$= \underline{\underline{400}}$$

## Shortage



$$\text{Shortage} = \text{Quantity Demand} - \text{Quantity Supply}$$

$$= 600 - 400$$

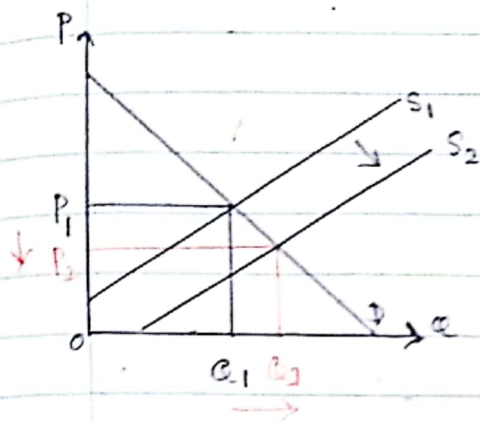
$$= \underline{\underline{200}}$$

At the point of disequilibrium,  
price of demand  $\neq$  price of supply  
Quantity of demand  $\neq$  Quantity of supply

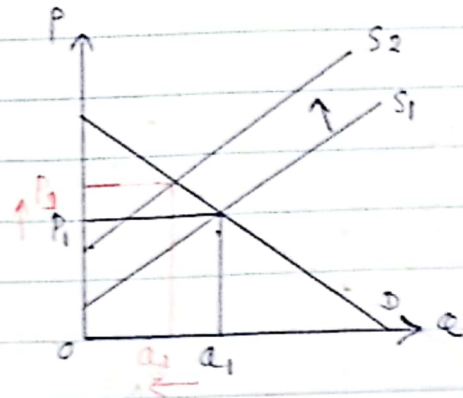
## Changes in Equilibrium.

01. only Change the Demand
02. only Change the Supply.
03. Demand and supply both are Changing..

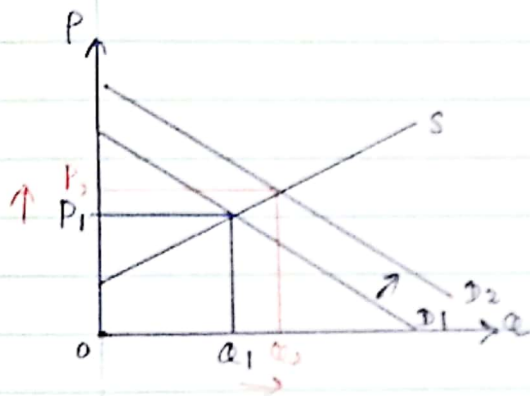
Supply increases

 $P \downarrow$   $Q \uparrow$ 

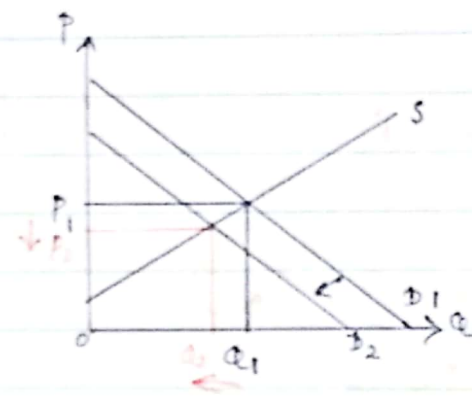
Supply decreases

 $P \uparrow$   $Q \downarrow$ 

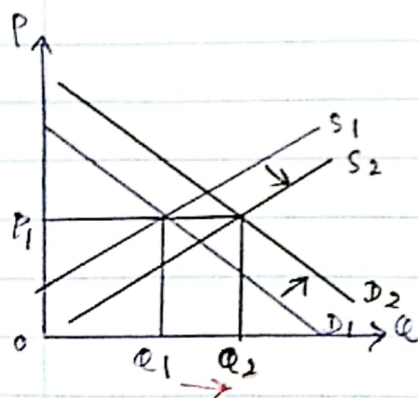
Demand increases

 $P \uparrow$   $Q \uparrow$ 

Demand decreases.

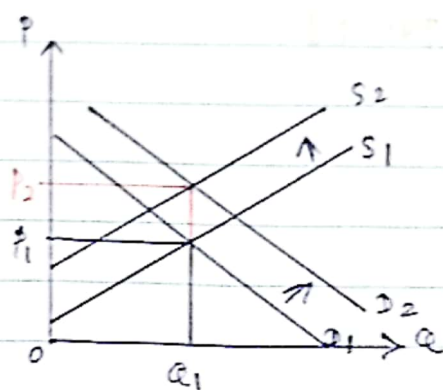
 $P \downarrow$   $Q \downarrow$ 

Demand increases, supply increases

 $P$  indeterminate  $Q \uparrow$ 

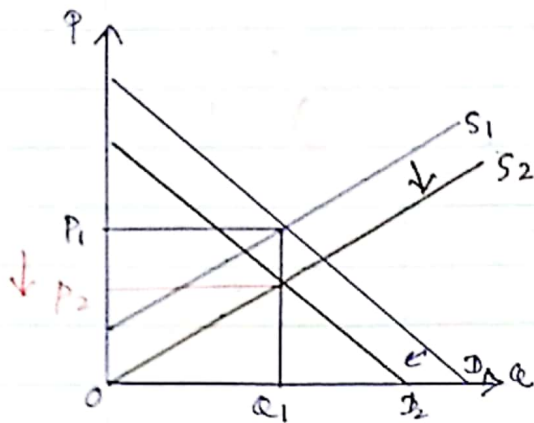
\* Demand and supply increases in same percentage.

Demand increases, supply decreases

 $P \downarrow$   $Q$  indeterminate.

\* Demand increase and supply decrease in same percentage.

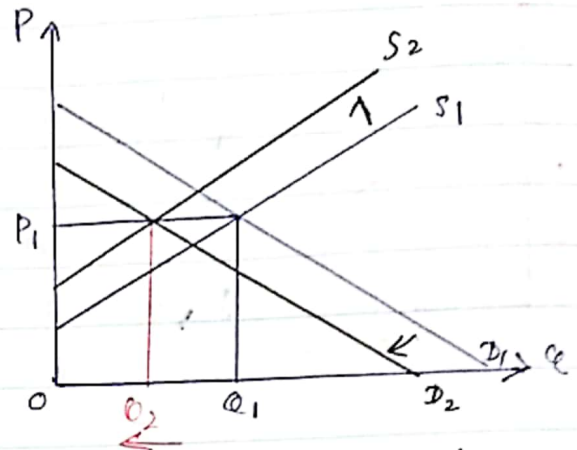
Demand decreases, Supply increases



$P \downarrow$   $Q$  Indeterminate.

\* Demand ~~decrease~~ and Supply Increase in same percentage.

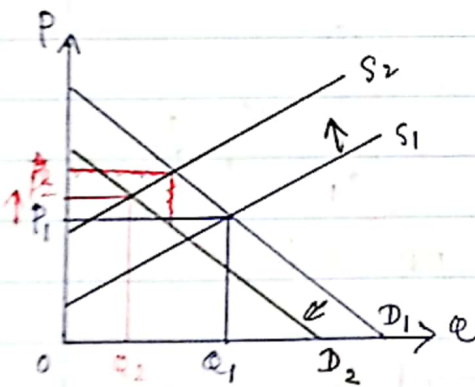
Demand decreases, supply ~~increases~~ <sup>decreases</sup>



price indeterminate  $Q \downarrow$

\* Demand decreases and supply decreases in same percentage.

Demand decreases, Supply ~~increases~~ <sup>decreases</sup>



$P \uparrow$   $Q \downarrow$